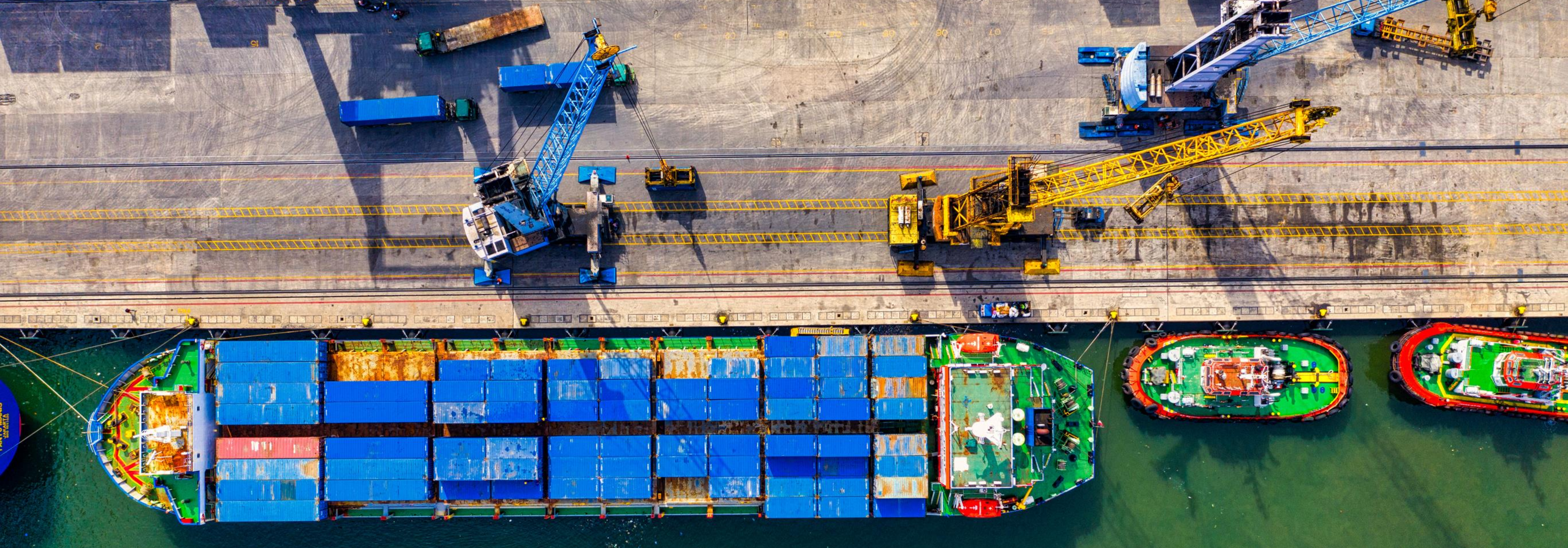


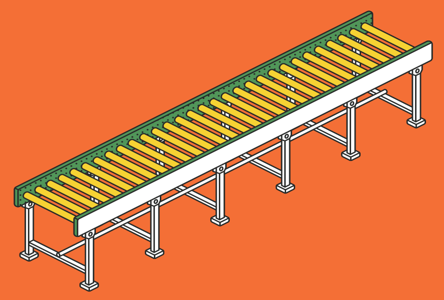
THEORIES OF INTERNATIONAL TRADE AND INVESTMENT

IS 4480

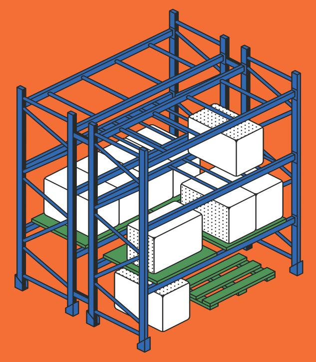
Department of Interdisciplinary Studies

IMPORTANCE OF INTERNATIONAL TRADE AND INVESTMENT

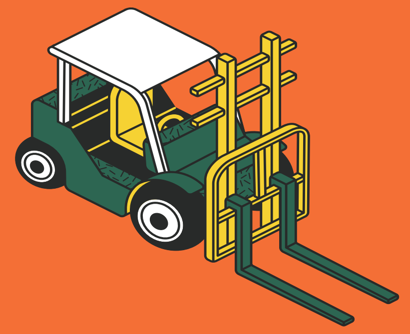
Identify Global Opportunities



Understand Competitive Advantage

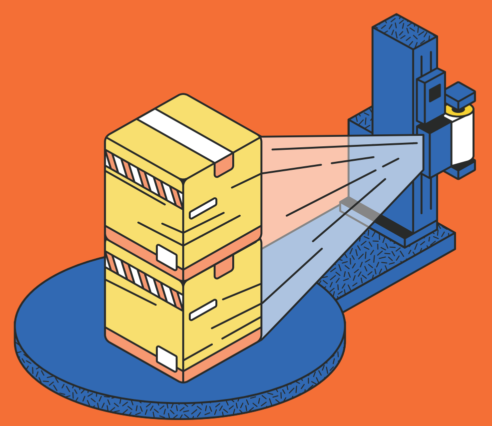


Manage Risks and Uncertainty

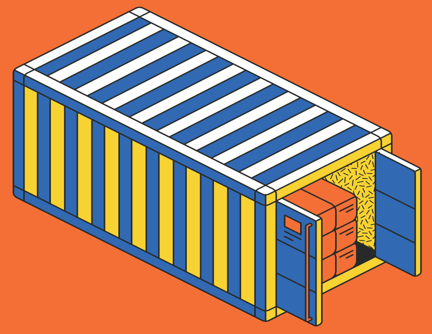


Access to Resources & Talent

Strategic Decision-Making (Entry Modes)



Innovation and Market Trends



Maximize Growth and Scale

❖ **Note:**

- To better understand how modern global trade has evolved, it's important to understand how countries traded with one another.
- Over time, economists have developed theories to explain the mechanisms of global trade.

INTERNATIONAL OPERATIONS AND ECONOMIC CONNECTIONS

Trade theory helps managers and government policymakers focus on these questions:

- What products should we import and export?
- How much should we trade?
- With whom should we trade?

These questions are intertwined with considerations of what they can produce competitively by boosting the quality and quantity of capital, technical competence, and worker skills.

To meet its international objectives, a company must gear its strategy to trading and transferring its means of operation across borders; say, from (Home) Country A to (Host) Country B (Figure 01).

Once either of these processes has taken place, the two countries are connected economically.

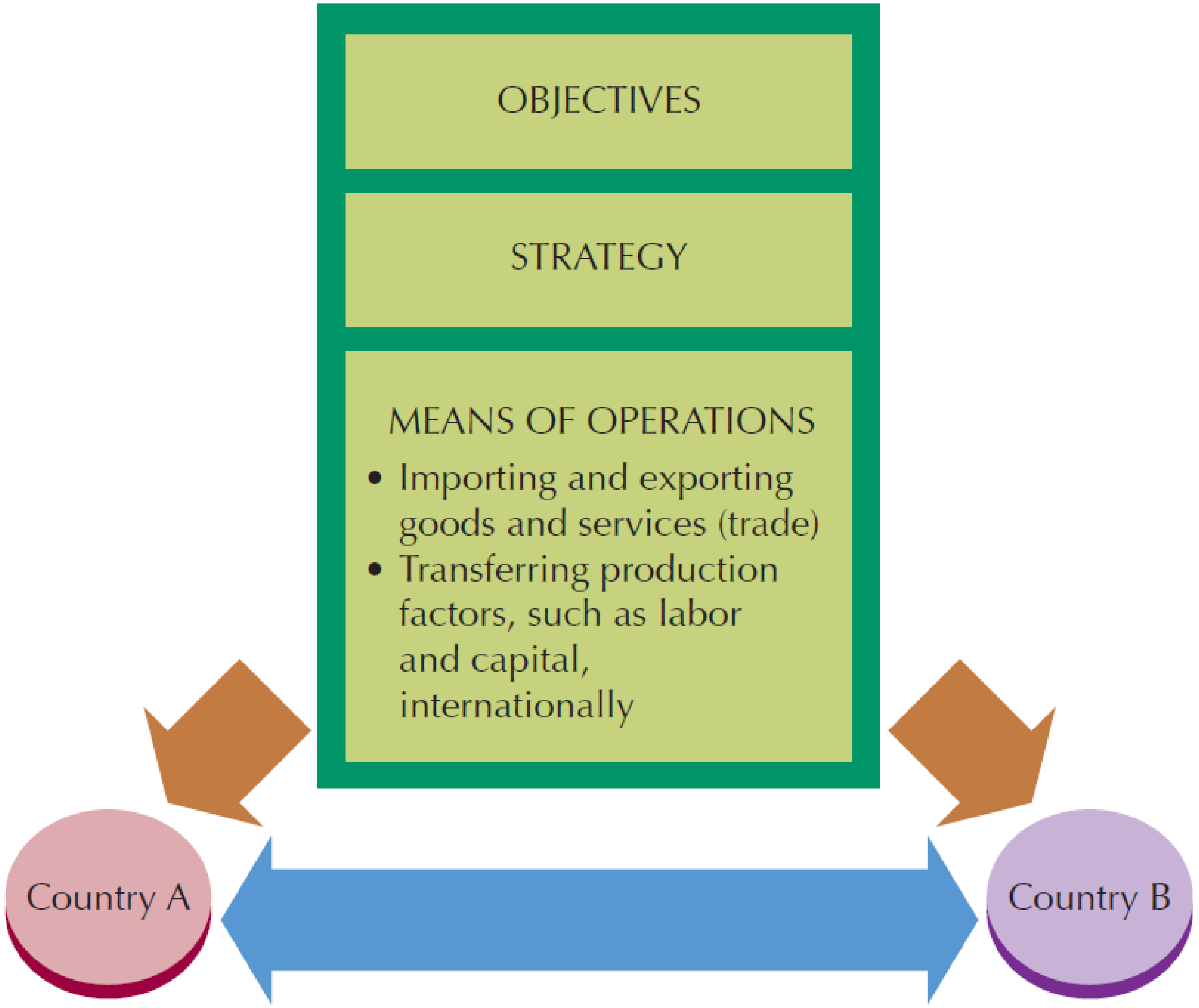
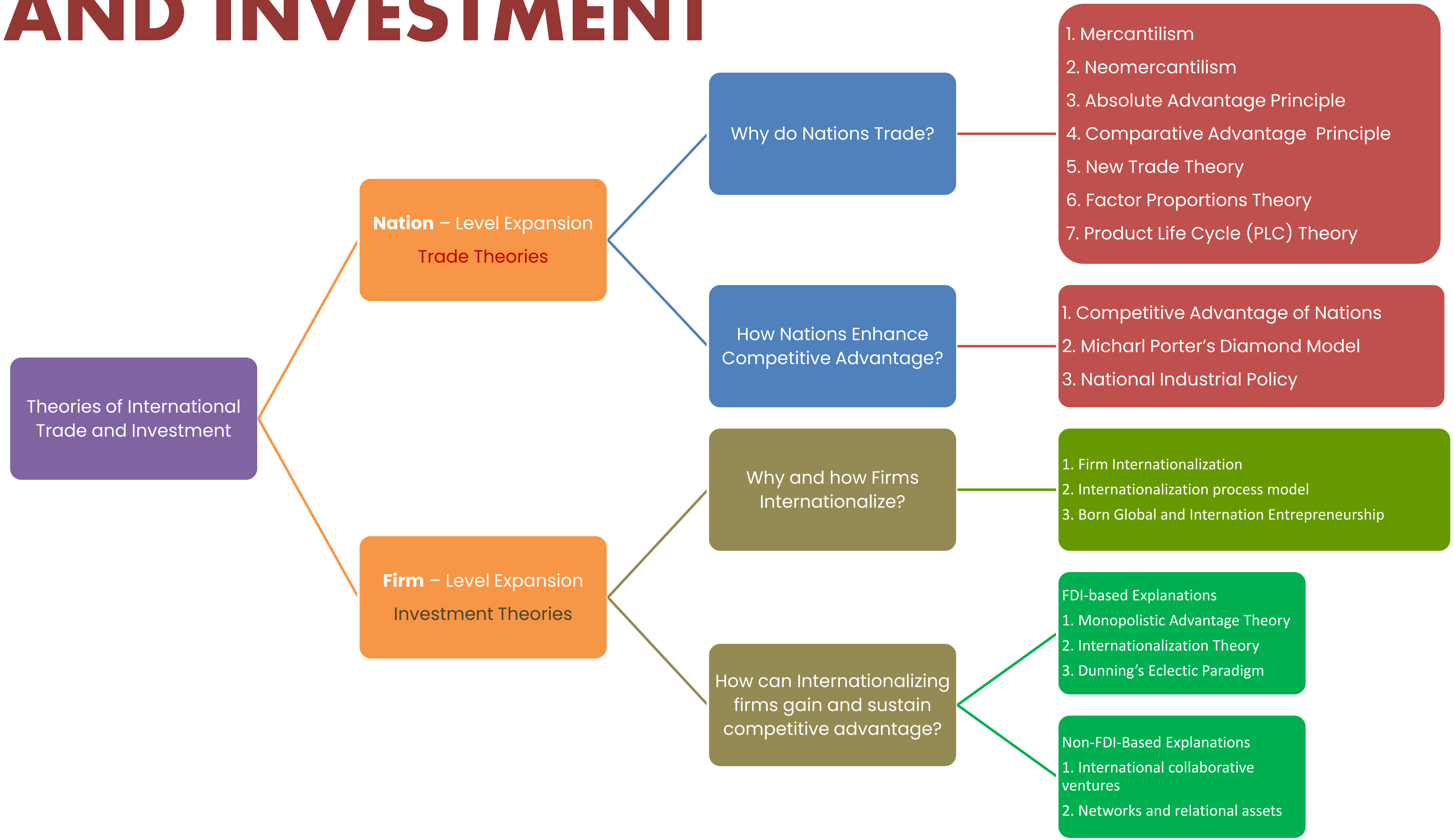


Figure 01 - International Operations and Economic Connections

THEORIES OF INTERNATIONAL TRADE AND INVESTMENT



TRADE THEORIES:

1. Mercantilism (16th–18th Century)

Key Idea: A nation's wealth is measured by its accumulation of gold and silver.

Principle: Exports should exceed imports to create a trade surplus.

Policy Tools:

- Imposing tariffs on imports.
- Providing subsidies to exporters.
- Restricting imports to protect domestic industries.

Example: European nations hoarded gold and silver during colonial times by encouraging exports and controlling colonies.

Criticism: Ignores mutual benefits of trade and consumer welfare, leading to inefficiencies.

Governmental Policies: To run a trade surplus, governments restricted imports and subsidized noncompetitive production.

The Concept of Balance of Trade: Running a trade surplus is not necessarily beneficial, nor is running a trade deficit necessarily detrimental.

TRADE THEORIES

2. Neomercantilism

Key Idea: is the running of a favorable balance of trade to achieve some social or political objective.

Principle: A country that practices neomercantilism attempts to run an export surplus to achieve a social or political objective.

Example:

- A country may reduce unemployment by encouraging its companies to produce more than the home demand and send the surplus abroad.
- Or it may attempt to maintain political influence in an area by sending more merchandise there than it receives, such as a government granting merchandise aid or loans to a foreign government.

TRADE THEORIES: Interventionist & Free Trade

3. Absolute Advantage Theory

Background: In 1776, Adam Smith declared that a country's well-being is its citizens' access to goods and services rather than the mercantilists' concept of its ownership of gold.

Key Idea: According to Adam Smith, a country's wealth is based on available goods and services for its residents rather than on gold. This would lead a country to specialize in those products that gave it a competitive advantage.

Example:

- The UK can produce 10 units of cloth per worker, while France can produce 6 units. France can produce 8 units of wine per worker, while the UK produces 4 units. The UK exports cloth to France, and France exports wine to the UK.

Benefits:

- Higher total production
- Mutual gains from trade
- Better use of global resources
- Labor could become more skilled by repeating the same tasks
- Labor would not lose time in switching production from one kind of product to another
- Larger amounts of production would provide incentives for developing more effective working methods

Limitations:

- Assumes only labor as a factor of production
- Assumes no transportation costs, perfect mobility of labor within a country, and no barriers to trade

TRADE THEORIES: Interventionist & Free Trade

4. Comparative Advantage Theory

Background:

- In 1817, David Ricardo examined the question, "What happens when one country can produce all products at an absolute advantage?"
- This theory says that global efficiency gains may still result from trade if a country specializes in what it can produce most efficiently regardless of other countries' absolute advantage.

Key Idea: Even if a country has an absolute advantage in all goods, it should specialize in goods where it has the lowest opportunity cost.

Example:

- The UK can produce 10 units of cloth or 8 units of wine per worker. France can produce 6 units of cloth or 4 units of wine per worker. The UK specializes in cloth (lower opportunity cost), and France specializes in wine.

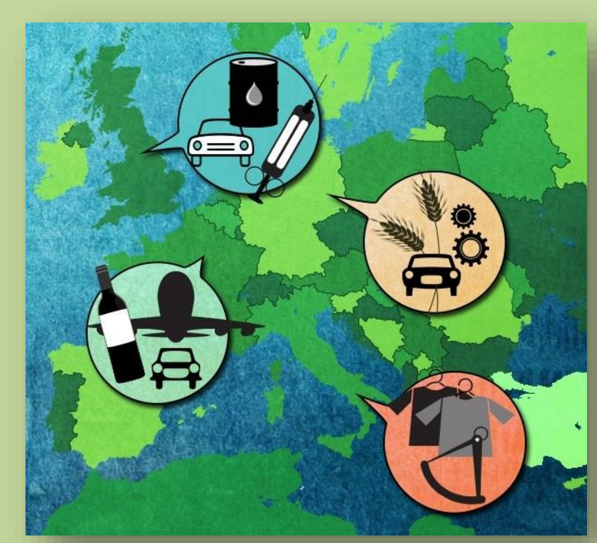
Significance: Explains how trade benefits nations with different levels of efficiency.

Benefits:

- Encourages specialization based on opportunity cost
- Increases total world output
- Makes trade mutually beneficial

Limitations:

- Assumes only labor is used in production
- Ignores transport costs, tariffs, and quotas
- Assumes static technology and preferences



THEORIES OF SPECIALIZATION:

Some Assumptions and Limitations

- Both specialization theories claim an increased production through trade.
- However, these theories make assumptions, some of which are not always completely valid.
    - Full employment
    - Economic efficiency
    - Trasport costs
    - Insufficient demand
    - Statistics and dynamics
    - Services
    - Production networks
    - Mobility

TRADE THEORIES: Interventionist & Free Trade

5. New Trade Theory (Paul Krugman, 1970s)

Key Idea: International trade is not driven only by factor endowments or comparative advantage, but also by economies of scale and network effects.

Main Points:

- Economies of scale: Producing in larger quantities lowers average costs, allowing countries to specialize in a few industries and still trade.
- First-mover advantage: Countries (or firms) that enter an industry early can dominate global markets.
- Intra-industry trade: Trade can occur between similar countries producing similar products (e.g., Germany and Japan both trade cars).

Examples:

- Aircraft industry (Boeing, Airbus) – dominated by a few nations due to high entry costs and economies of scale.
- Technology industries (semiconductors, smartphones) – early innovators gain lasting global advantages.

TRADE THEORIES: 6. National Trade Patterns

How Much Does A Country Trade?

❖ **Theory of Country Size**

- The theory of country size holds that countries with larger land masses usually depend less on trade than smaller ones.
- They are apt to have more varied climates and an assortment of natural resources that make them more self-sufficient.
- Bigger countries (in terms of land mass) differ in several ways from smaller countries.
- They tend to export a smaller portion of output and import a smaller part of consumption and have higher average transport costs for foreign trade.

❖ **Size of the Economy**

- While land area helps explain the relative dependence on trade, countries' economic size helps explain absolute differences in the amount of trade.
- Larger economies are the biggest traders because they produce and consume more.

What Types of Products does a Country Trade?

❖ **Factor Proportions Theory (Heckscher-Ohlin Theory)**

- Eli Heckscher and Bertil Ohlin developed the factor proportions theory, maintaining that differences in countries' proportional endowments of labor, land, and capital explain differences in these endowments' costs.

- According to the factor proportions theory, countries have their best trade advantage when depending on their relatively abundant production factors.

TRADE THEORIES: 6. National Trade Patterns

What Types of Products does a Country Trade?

❖ **Factor Proportions Theory Ctd.**

- Production factors, such as land and labor, are not homogeneous.
- Companies may substitute capital for labor, depending on the cost of each.
- Countries with bigger markets depend more on producing products requiring larger production.
- Example: The rice harvesting is capital intensive in Italy, where labor rates are high. It is labor intensive in Indonesia, where labor rates are low.

With Whom do Countries Trade?

❖ **Country-Similarity Theory**

- This says that companies create new products in response to market conditions in their home market.
- Developed countries trade primarily with each other because they produce and consume more, emphasize technical breakthroughs in different industrial sectors.
- Product differentiation causes countries to conduct two-way trade in seemingly similar products.
- Trading partners are affected by cultural similarity, political relations between countries, and distance.

TRADE THEORIES: The Dynamics of Export Capabilities

7. Product Life Cycle Theory (Raymond Vernon, 1960s)

Key Idea: Trade patterns change as products mature:

- Introduction: Product is developed and consumed in the innovating country.
- Growth: Product is exported to other developed nations.
- Maturity: Production may shift to developing countries for cost efficiency; exports may decline in original country.
- Decline: Product becomes standardized, traded globally.

Principle: According to the PLC theory of trade, the production location for many products moves from one country to another depending on the stage in the product's life cycle.

Significance: Explains dynamic changes in trade patterns over time.

The introduction stage marked by;
- innovation in response to observed need,
- exporting by the innovative country,
- evolving product characteristics.

Growth is characterized by;
- increases in exports by the innovating country,
- more competition,
- increased capital intensity,
- some foreign production.

Maturity is characterized by;
- a decline in exports from the innovating country,
- more product standardization,
- more capital intensity,
- increased competitiveness of price,
- production start-ups in emerging economies.

Decline is characterized by;
- a concentration of production in developing countries,
- an innovating country becoming a net importer

How Nations Enhance Competitive Advantage?

TRADE THEORIES:

THE DIAMOND OF NATIONAL COMPETITIVE ADVANTAGE (Michael Porter)

Key Idea: According to the diamond of national competitive advantage theory, companies' development and maintenance of internationally competitive products depends on favorable;

- Demand conditions
- Factor conditions
- Related and supporting industries
- Firm strategy, structure, and rivalry

Source: valuebasedmanagement.net


Continued...